PHILSAGA MINING CORPORATION
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Mill Site: Bayugan 3, Rosario, Agusan del Sur
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January 25, 2011

ALILO C. ENSOMO, JR
Acting Regional Director
Mines and Geosciences Bureau
Regional Office No. XIII
Km. 2, National Highway, Surigao City

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Dear Director Ensomo:

Respectfully submitting herewith the company's Social Development & Management Program (SDMP) Annual Accomplishment Report for the period covering January to December 2010 for the two (2) host Barangays situated at Barangay Consuelo, Bunawan and Barangay Bayugan 3, Rosario, all in Agusan del Sur.

We trust you will find everything in order. Thank you.

Truly yours,

COL SAMUEL G AFDAL (RET)
President

Social Development & Management Program (SDMP)
ANNUAL REPORT 2010

Period Covered: January 2010 to December 2010

A. General Information

1. Name of the Company: **Philsaga Mining Corporation**
2. Plant Address/location: Bayugan 3, Rosario, Agusan del Sur
3. Contact person/Title, Phone and Fax Nos.

Col Samuel G Afdal (Ret)
President
Tel. No. (085) 839-3442/FaxNo. (085) 839-2253

ENGR. FERDINAND A. CORTES
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Tel. No. (085) 839-3442/FaxNo. (085) 839-2253

B. Community Development Framework

Starting 2007, with the creation of Community Technical Working Group (CTWG) for Bayugan 3 and Consuelo, the company's five (5) year Social Development & Management Program (SDMP) 2007-2011 for the 1% DMMC was implemented based on implementing rules and regulations. In view of the fact that the company's 1% DMMC is being released quarterly, the CTWG agreed that Annual SDMP Budget must cover the 4th quarter of the preceeding year until 3rd quarter of the current year, hence covering the four (4) quarters, that was in the previous years of implementations.

Started this year, 2010, the Mine Rehabilitation Fund Committee (MRFC) headed by the Regional Director of DENR-MGB Region Office XIII, the ASDMP 2010 budget cover the actual 1% Direct Mining & Milling Cost of 2009 plus the unspent budget of ASDMP 2009. The 1% Direct Mining and Milling Cost (DMMC) of the host barangays were directly deposited at Development Bank of the Philippines (DBP) in their respective accounts for the identified PPAs to be implemented. For 2010 ASDMP, the budget is Php 6, 173,475.29 wherein CTWG-SB members prioritize fund allocations for identified programs/projects/activities. Strategies and Mechanisms were designed according to the SDMP framework being implemented throughout Caraga Region, thus the following:

1. Challenges, Goals and Objectives

Challenges

1. Community value systems are still to be established.
2. Infrastructure projects tend to be of great preference from among LGUs instead of giving priority to the livelihood program.
3. Delayed implementation of PPAs due to the late releases of Barangay/LGU counterpart as well as social preparation and organization structure among the livelihood proponents.
4. The Multi-sectoral representatives demands for honorarium/compensation instead of volunteerism.
5. The Barangay is not complying the reportorial requirements on due time especially on the liquidation of the implemented PPAS downloaded fund.
6. Access to potable water supply for the two host barangays have not yet been realized although Brgy. Consuelo is upgrading its water system to be able to supply adequate water to its constituents in Consuelo proper.
7. Some CTWG members are very pessimistic in terms of livelihood due to many failures of previous implementation of the same in the locality.
8. Strong political influence or interference of some barangay officials somewhat deviates the flow of implementation per SDMP Manual of Operation for the Mining Industry in Caraga Region.

Goals

1. To attain sustainable development through collaboration/coordination with different sectors of the community for the programs/projects' implementation.
2. To enhance the evolution of common values which will serve as basis for developing and inculcating individual and collective attitudes consistent with the national interest.
3. To promote general capability to effectively manage change and other situations that requires coping and adjusting.
4. To contribute to nationwide efforts in increasing household and community based productivity towards self-reliance and self sufficiency in basic requirements.

5. To develop a uniform and equitable application of SDMP.
6. To institute national policy enactment that enhances implementation of SDMPs.

Objectives

1. To promote transparency in every transaction toward implementation of various projects.
2. To effect change in ways that may lead into building genuine and credible empowerment leaders and the community themselves.
3. To effectively deliver primary health care services to the people.
4. To provide better & quality education.
5. To deliver quality social welfare services.
6. To increase income through sustainable livelihood projects.
7. Protection and sustainable utilization of natural resources.
8. To develop transportation facilities (farm to market roads/bridges).
9. To provide the community safe access to potable water supply.
10. To establish income generating projects.
11. To provide the basic social services to the host communities.
12. To ensure social awareness through proper information, communication and education dissemination.
13. To establish and develop infrastructure facilities.
14. To maintain networking and linkages with the local government units, government agencies, non-government organization, private sectors and other sector in the society.

2. Strategies and Approaches

Strategies/Approaches

1. Provision of additional health stations, facilities & health personnel especially to the far-flung community.

2. Construction of elem. school buildings & facilities & hiring of competent teachers.
3. Encourage private institution / NGO's to participate in the social services, programs & projects.
4. Develop barangay resettlement sites and relocate households living in the danger zones.
5. Identification of suitable programs & projects for specific land use.
6. Conduct information, education campaign (IEC).
7. Provision of territorial security, infrastructure support and social services both upland and lowland dwellers
8. Conduct of capability building trainings, assessments, consultations, dialogues and IEC
9. Conduct of consultations with concerned stakeholders to identify and prioritize responses and strategies.
10. Strengthen CTWG members' capabilities through training, local study mission and capacity building.
11. Conduct of consultations with the different stakeholders.

3. Programs and projects (description)

To become effective, the program must focus on the ability of the community organizing, a vehicle which will be institutionalized as the structure for meaningful community participation, making them aware that their directed and concerted efforts can help improve their conditions. Participation in situation that affects their lives is also their social obligations as well as a basic human right. Their effectiveness carrying out plans will be inherent to self-reliance of the community. The creation of the multi-purpose cooperatives or tap existing cooperative/associations to address the socio-economic problem of the host barangay or shall be the focus of this social development plan.

INFRASTRUCTURE/UTILITIES:

This program is geared towards the development of support infrastructures supportive of social development such as construction/rehabilitation of roads, water system, security outposts, construction of IEC Center/covered court, irrigation canals, day care centers and other support facilities.

C. Monitoring and Evaluation

It is in proper filing of documents and recording of financial disbursements that aid the company in tracking the implementation of the Annual SDMP. Likewise, coordination with the project beneficiaries has facilitated the monitoring on the physical accomplishments of said projects infact majority of PPAs identified for the year are successfully implemented however there are some infrastructures are still on going due to unpredictable weather conditions. Since some of the SDMP Fund is downloaded in the Barangay there is that difficulty to monitor the financial disbursements in their respective ends.

D. SDMP Matrix

Program/Project/ Activity (per target area)	Specific Activities	Stakeholders Involved	Period of Implementation (when/status)	Actual Cost (how much)	Remarks
ICE-CD					
Barangay Consuelo, Agusan del Sur					
1. Community Consultation /Pulong-pulong	Collaborative participation of sectoral representatives, BLGU, MGB & PSMC	CTWG members, MGB, LGU-Bunawan & Rosario	1st Quarter 2010	Php 37,000.00	-Community Consultation conducted, -IEC on the New Procedural Manual of 1% DMMC spearheaded by MGB-13 was successfully conducted.
2. Community consultations/CTWG meetings	Conduct of regular and special meetings	CTWG members & MGB	3rd and 4th Quarter 2010	Php 41,500.00	Implemented.